the passing of the Jan Vishwas (Amendment of Provisions) Act, which decriminalised 183 provisions across 42 laws. But the PM wanted to make even more sweeping changes in the second iteration and pushed hard for it.

The States Shakeup

Meanwhile, the Somanathan-led task force for state reform found that while many state-level regulations were designed with legitimate objectives—worker welfare, environmental protection, safety or urban planning—they had over time evolved into barriers that raised the cost, time and uncertainty of doing business. India's most important business regulations, for an entrepreneur on the ground, were often not those made in Delhi at all. Land acquisition and conversion, factory-building permissions, labour inspections, local body approvals, all fall within the jurisdiction of states and municipalities, and are what make or unmake investment decisions.

For instance, the current labour laws often discourage firms from scaling up, as businesses find it cheaper to operate two factories with 150 workers each rather than a single factory with 300 workers, since crossing a certain threshold

"THE DEREGULATION BATTLE IS STILL TO BE FOUGHT. ANYONE CAN SAY NO AND NO ONE CAN SAY YES. DISMANTLING THIS LOGIC IS THE REFORM'S DEEPEST AMBITION"



– MANISH SABHARWAL
Cofounder, TeamLease Services

triggers additional compliance obligations. A factory owner must also navigate complex land-use conversion procedures, zoning approvals and multiple permissions before commencing construction. 'Setback' regulations alone can consume huge portions of industrial land. A factory on a 10,000 square metre plot may be forced to leave between 1,164 and 3,522 sq. m unused, sacrificing land worth up to Rs 97.5 lakh and potentially forgoing more than 500 jobs. By contrast, experts point out, Japan permits mixed-use urban development, South Korea allows working-hour limits to be averaged over longer periods and parts of the United States permit "as-of-right" development, with far fewer pre-construction approvals.

The burden is compounded by weak administrative capacity. It was clear to the task force that states relied heavily on inspections, licences and renewals, but often lacked the manpower to administer them efficiently. Across more than

THE DRIVE FOR DECRIMINALISATION

Moving from criminalisation to trust-based compliance, what changed, what was achieved and why it matters

MISTRUST TO COMPLIANCE



Before: Missed filings or wrongly filled forms could lead to jail

Reform: Go with civil penalties/ graded enforcement instead

Now: Less criminal prosecution

Example: The 2023 Act decriminalised 183 provisions in 42 central acts; 2026 Act expands that

EXPANDED LEGISLATIVE COVERAGE



Before: Many laws had criminal provisions for routine defaults

Reform: 2025 bill began with 16 Acts, 10 ministries and 355 provisions; the scope is expanded

Now: Amendments proposed to 79 central acts, covering 23 ministries and 784 provisions

Example: Select Committee held 49 sittings and recommended expansion and refinements

CRIMINAL PENALTIES TURN CIVIL



Before: Violations got jail/ criminal fines even if no fraud/ public harm

Reform: Fines, jail-and-fine provisions and imprisonment clauses become monetary/ civil penalties

Now: 317 provisions: fine becomes civil penalty; 113 provisions: jail-and-fine becomes civil penalty; two provisions: jail becomes civil penalty

Example: Clinical Establishments Act: minor deficiencies earlier exposed clinics to prosecution; now civil penalty up to Rs 10,000

PENALTIES REMOVED WHERE UNNECESSARY



Before: Fines/ jail for conduct that did not need criminal enforcement

Reform: Remove redundant fines/ imprisonment provisions if administrative enforcement is enough

Now: 158 provisions: fine removed entirely; 57 provisions: jail-and-fine removed; 29 provisions: imprisonment removed

Example: Copyright Act: false entry in Register of Copyrights earlier carried imprisonment of up to one year; provision removed